

		failure to comply with the applicable Codes, now set forth twice by the Court, will result in more severe sanctions in the future. While Defendant also contends Plaintiff did not produce all responsive documents as indicated in Plaintiff's responses, whether Plaintiff in fact produced all documents is not an issue to be determined for purposes of this motion. Defendant's request for sanctions is granted in the reduced amount of \$2,672.50 based on 5.5 hours of counsel's time at \$475/hour plus a \$60 filing fee. Plaintiff to provide supplemental responses and pay sanctions within 30 days of today's date.
8.	PHAN VS. ABBOTT 2022-01262349	MOTION FOR JUDGMENT NOTWITHSTANDING THE VERDICT MOTION FOR A NEW TRIAL No tentative ruling.
9.	POTTER VS. DICKER 2026-01563148	ORDER TO SHOW CAUSE RE: PRELIMINARY INJUNCTION Plaintiff Jeffery Potter's motion for a Preliminary Injunction is DENIED. The burden is on the party "seeking injunctive relief, to show all elements necessary to support issuance of a preliminary injunction." (<i>O'Connell v. Superior Court</i> (2006) 141 Cal.App.4th 1452, 1481.) "A trial court considers two interrelated factors when determining whether to issue a preliminary injunction: '(1) the likelihood that the plaintiff will prevail on the merits, and (2) the relative balance of harms that is likely to result from the granting or denial of interim injunctive relief. [Citations.]' [Citation.] These two factors 'are described as <i>interrelated</i> factors because the greater the plaintiff's showing on one, the less must be shown on the other to obtain an injunction. [Citation.] The goal of this test is to minimize the harm that an erroneous interim decision would cause. [Citations.]' [Citation.]" (<i>Mae M. v. Komrosky</i> (2025) 111 Cal.App.5th 198, 213.) "The trial court's determination must be guided by a 'mix' of the potential-merit and interim-harm factors; the greater the plaintiff's showing on one, the less must be shown on the other to support an injunction." (<i>Butt v. State of California</i> (1992) 4 Cal.4th 668, 678 (<i>Butt</i>).) "A trial court may not grant a preliminary injunction, regardless of the balance of interim harm, unless there is some possibility that the plaintiff would ultimately prevail on the merits of the claim." (<i>Ibid.</i>) Plaintiff seeks a preliminary injunction (1) restraining Defendants Gerald Vance Dicker, GVD Commercial Properties, Inc. ("GVDCP"), Monte Mac No. 1 ("MM1"), Monte Mac No. 2

(“MM2”), and all persons acting in concert with them, from using Plaintiff’s own withheld or reduced distributive share, or partnership funds, to prosecute dissociation proceedings against Plaintiff; and (2) compelling Defendants to complete production of the tax workpapers, supporting schedules, trial balances, and other records demanded on April 13, 2026, and to facilitate the independent audit required under Article V(D) of the Limited Partnership Agreement and Corporations Code section 15903.04; pending trial of this action.

Likelihood of Prevailing on the Merits:

Plaintiff contends he is likely to prevail on his claims for breach of fiduciary duty, breach of the Limited Partnership Agreements and financial elder abuse which rest on the unauthorized use of Plaintiff’s distributive share and of partnership funds to pursue dissociation proceedings against him, and on the obstruction of contractual audit and inspection rights.

MM1’s Funding of its Disassociation Action:

Plaintiff seeks to restrain Defendants from using Plaintiff’s own withheld or reduced distributive share, or partnership funds to prosecute dissociation proceedings against Plaintiff.

Plaintiff contends the General Partner is deliberately diverting \$10,000 per month from partners’ distributions to pay for the dissolution proceedings against Plaintiff and that directing a partner’s own capital toward an effort to remove him and applying partnership assets to an offensive action against a partner rather than a defense of claims he brought, cannot be reconciled with the duty of loyalty codified at section 15904.08, subdivision (b).

Here, Article VII.A of MM1’s Limited Partnership Agreement (“LP Agreement”) grants the General Partner “full, exclusive and complete discretion in the management and control of the business of the partnership” and provides that the General Partner “shall make all decisions affecting the business of the partnership.” (Verified Complaint, Ex. 1, p. 11-12.) Further, California Corporations Code section 15904.06 provides that “[a]ny matter relating to the activities of the limited partnership may be exclusively decided by the general partner.” (Cal. Corp. Code § 15904.06.) Therefore, under the LP Agreement and section 15904.06, the general partner has the authority to manage partnership affairs, including the prosecution and defense of litigation on behalf of the partnership.

Defendants contend Plaintiff’s argument that his own capital cannot be used in the dissolution action misconstrues the structure of the limited partnership and MM1. Article VI.E of the LP Agreement provides that only “partnership cash in excess of an amount necessary to provide a reasonable reserve for the operation of the partnership

shall be distributed.” (Verified Complaint, Ex. 1, p. 11.) GVDCP, as the General Partner, sets aside cash flow toward a reserve account to ensure MM1 has adequate funds to pay for any operating costs, including unanticipated expenses. (Case Decl. ¶ 26; Suppl. Case Decl. ¶ 8b; LP Agreement, § VI.E, Verified Complaint, Ex. 1 at p. 11.) Remaining cash is distributed to the limited partners on a monthly and/or annual basis. (Case Decl. ¶ 26; Suppl. Case Decl. ¶ 8c; LP Agreement, § VI.E, Verified Complaint, Ex. 1 at p. 11 (31 of PDF).) The monies distributed to MM1’s limited partners become cash flow to MM1’s limited partners. (Case Decl. ¶ 26; Suppl. Case Decl. ¶ 8d; LP Agreement, § VI.E, Verified Complaint, Ex. 1 at p. 11 (31 of PDF).) The monies which are not distributed to MM1’s limited partners are necessary for MM1’s operations and belong to MM1, not any individual partner until they are distributed. (Case Decl. ¶ 26; Suppl. Case Decl. ¶¶ 8a-8c, 8e; LP Agreement, § VI.E, Verified Complaint, Ex. 1 at p. 11 (31 of PDF).) MM1 has deemed it necessary to reserve additional money for its operations due to Plaintiff’s audit demands, the costs associated with bringing legal action to disassociate Plaintiff, and to defend itself in this litigation. (Case Decl. ¶ 26, Ex. 5; Suppl. Case Decl. ¶ 8e.) Therefore, it has increased the number of dollars allocated toward its reserves each month, which incidentally results in reduced distributions to all of Plaintiff’s partners, including GVDCP. (Case Decl. ¶ 26, Ex. 5, Suppl. Case Decl. ¶ 8e.)

Therefore, Defendants have shown that the \$10,000 monthly reserve is an authorized partnership expense that applies pro rata to all partners, not just Plaintiff. Further, Plaintiff cites no statute or case law in support of his argument that a general partner of a limited partnership breaches the duty of loyalty when it causes monies belonging to the limited partnership to be used to pay lawyers the limited partnership has retained to bring a statutorily permitted disassociation action against a limited partner.

Accordingly, Plaintiff has failed to show a likelihood that he will prevail on his claim that using Plaintiff’s own withheld or reduced distributive share, or partnership funds to prosecute disassociation proceedings against Plaintiff is improper and subject to restraint.

Contractual Audit and Inspection Rights:

Plaintiff seeks to compel Defendants to produce the tax workpapers, supporting schedules, trial balances, and other records demanded on April 13, 2026, and to facilitate the independent audit required under Article V(D) of the Limited Partnership Agreement and Corporations Code section 15903.04; pending trial of this action.

Article V(D) of the LP Agreement provides limited partners with the right to an independent audit. Specifically, the LP Agreement provides, “Upon written request of any partner, the books of account

of the partnership shall be audited at the expenses of the partnership after the close of any annual accounting period to which such request relates, and financial statements of the business of the partnership for such accounting period shall be prepared and delivered to each of the partners.” (Verified Complaint, Ex. 1, LP Agreement, p. 9 [emphasis added].)

As to MM1, Plaintiff acknowledges that on June 20, 2026, Wipfli LLP issued its Independent Auditor’s Report and accompanying financial statements for MM1 for the year ended December 31, 2025. (Suppl. Kinley Decl. ¶ 2a.) However, Plaintiff contends the report is a standard financial statement audit and does not include the tax workpapers, supporting schedules, trial balances, or other underlying records that Plaintiff demanded in writing on April 13, 2026. Although Article V(D) of the LP Agreement only provides for an independent audit and production of financial statements, Plaintiff argues he is entitled to the “tax workpapers, supporting schedules, trial balances, and other records” under Article VIII of the LP Agreement and Corporations Code section 15903.04. Article VIII provides, “The books and records of the partnership shall be available for inspection by any party to the Agreement or its agent, at any reasonable time.” (Verified Complaint, Ex. 1, LP Agreement, p. 15.) Defendants have shown MM1’s former counsel offered Plaintiff and his counsel an opportunity to inspect MM1’s books and records at their offices during the first week of March 2026 but Plaintiff ignored the offer. (Case Decl. ¶ 23, Ex. 4.)

As to MM2, Defendants have shown as of May 31, 2026, MM2 has finalized its 2025 partnership books and tax returns and issued K-1s to all partners accordingly. (Supp. Case Decl., ¶ 6.) MM2 has engaged Wipfli, to render an audit of MM2’s financials and books and records, as Plaintiff requested and Wipfli is in the process of performing the MM2 audit. (Suppl. Case Decl. ¶ 6.)

Therefore, Plaintiff has failed to show a likelihood of prevailing as to his claim of obstruction of contractual audit and inspection rights.

Plaintiff has failed to show that there is a likelihood that he will prevail on his claims therefore the Motion is DENIED. (*Butt, supra*, 4 Cal.4th at p. 678 [“A trial court may not grant a preliminary injunction, regardless of the balance of interim harm, unless there is some possibility that the plaintiff would ultimately prevail on the merits of the claim.”].)

Moving party to give notice.